HOW TO ESTABLISH A RISK-FREE TRADE

A Gameplan For Scaling Out

Here's an easy to understand, clear way of scaling out of trades to create a risk-free trade setup. Forget about trying to nail the tops and bottoms, it's very hard and unnecessary!

This setup was developed by the talented members of The Chart Guys community and should provide you with an easy-to-follow way of scaling out of your trades.

The actual strategy of where to enter or exit at various levels is up to your own technical analysis, but this methodology determines how to chop up your position into various categories. For the following illustration we will assume you're playing long.

Once you have entered a position, set a stop loss level.

1. Take Profit Position 1
"The Guardian"

This profit level has become your guardian and it's job is to protect you. By taking 33% off the trade when the price hits an EMA, local resistance etc, you're safeguarding the trade. If the trade now turns against you, you will stop out for a very small win.

2. Take Profit Position 2
"The Harvest"

This level is to harvest profits at key levels. Perhaps a resistance level or EMA of a higher time frame. You can secure another 33% at this stage of the trade.

3. Take Profit Position 3
"The Mr Clear"

The last 33% can be left as a runner position. The bears need to give you a clear reason to close the position. This should be a clear reason that bulls cannot continue the trend on higher time frames or break equilibriums bullish.

Here's a clear example to demonstrate the theory from a visual perspective:

BTC/USD (Coinbase)

The scenario was that Bitcoin was in a strong, monthly, weekly, daily downtrend so bulls needed to be very careful and wary of the overall trend.

Chart Strategy Overview

Entry

We entered the trade due to a falling wedge on the 15m timeframe with a stop loss level set with some wiggle room.

Chart The Guardian

1. "The Guardian"

After entering, the guardian exit of 33% of the trade was set at the back test of the 1 hour EMA (yellow line) which coincidentally lined up with the top of the falling wedge pattern.

You're now in a risk-free trade!

Chart The Harvest

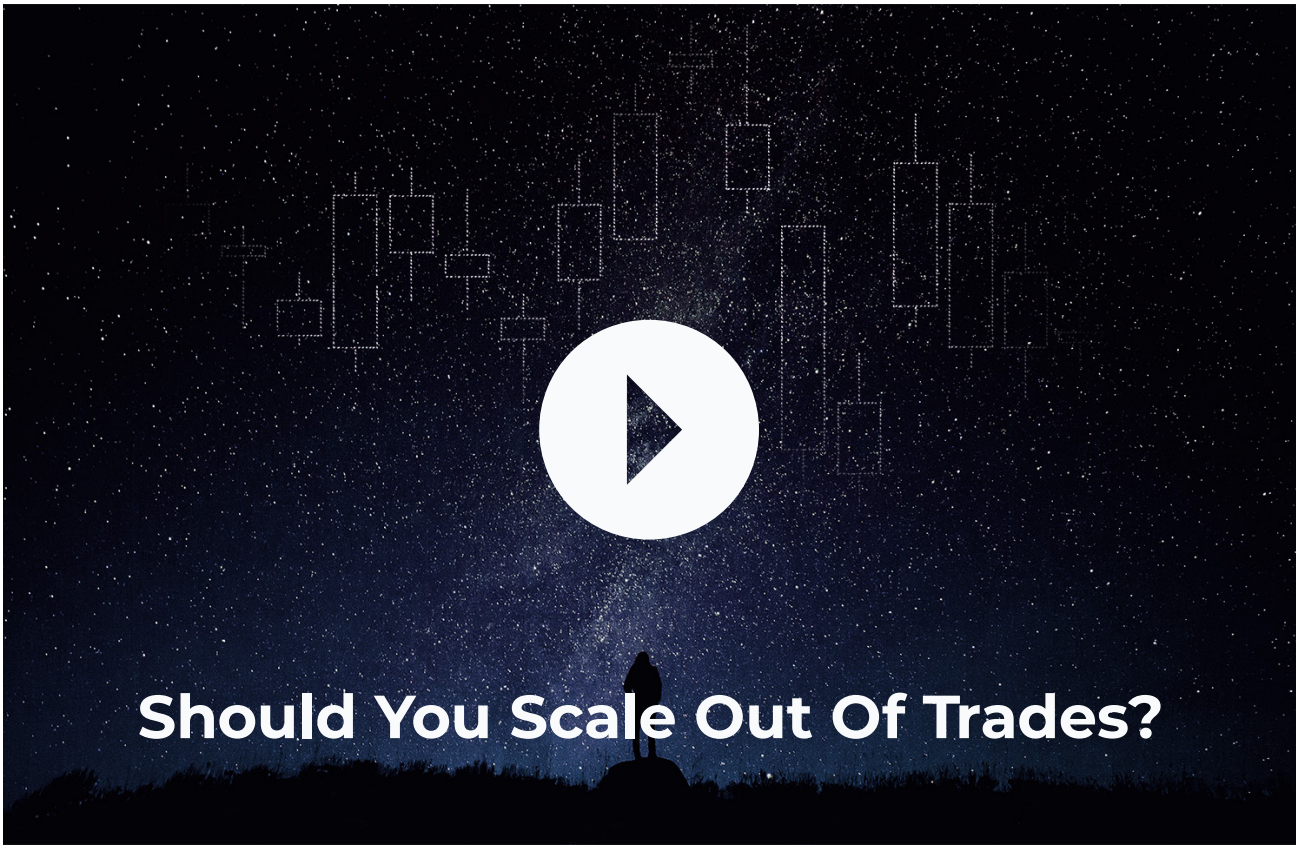
2. "The Harvest"

This level was set on higher time frames with the added confidence of the 1 hour trend change confirmation. Another 33% of the original trade was exited at the previous double top.

Chart Mr Clear

3. "The Mr Clear"

The final 33% runner was left to see if this move was going to play out on larger time frames. As an EQ was forming on the 4 hour time frame it was CLEAR to see that if that tightening pattern was to break bearish, then the trade was finalised. In this situation its clear that the bullish momentum had dissipated for the time being. This final position is always the cherry on the cake for longer positions.



Video Click to play

This method of exiting partial positions on certain technical situations can leave you in a risk-free trade easily if you follow the rules and avoid making the classic mistake of always trying to nail the top and bottom of moves.

We provide a lot of other technical analysis education through our courses and in our unique trading membership platform.

Check out the resources at:
www.chartguys.com